

Accounting Business and Society

Week 8

Tutorial A

Exercise 1

Background:

Understanding key differences between the three business structures will allow you to select the right business type that suits the size and the nature of your organisation. This activity will give you an opportunity to develop further insights into the three common business structures - Sole Proprietorship, Partnership and Company.



Task:

Discussion of pre-class work:

- How did we go with the pre-class work this week? Is there anything you need further explanation on?
- What are three common business structures?
- Can you remember some basic characteristics of each business form? Which business structure pays the dividends to its owners?
- Which business structure requires the business profit to be returned to the owner(s) as the personal income?

Activity:

You will be working in pairs for this activity. You will research then discuss responses to the questions posed below. You might need to access to the Government's Business Structures website provided below to find the necessary information to complete the task.

1. Each person in each pair of students will need to think of and explain 2 reasons why the partnership business might be better than the company. The other person in the pair will take an opposite role by thinking and explaining 2 reasons why the company might be better than the partnership.

2. Your pair is required to organise your findings in a meaningful way and then one person, on behalf of the pair, will post your findings to the following Activity Forum for a class discussion.

Exercise 2



Background:

This activity will enhance your understanding on the business structures and some common issues encountered in the practice.

Task:

You are required to read the article provided below, "Big four consulting firms use partnership structure to avoid scrutiny" written by Hannah Wootton (2019), to complete the following tasks:

1. Use your own words to summarise the key points from the article.
2. What business structure is commonly used by many consulting firms in their business practice like Ernst and Young (EY)?
3. What are the reasons behind the choice of their business structure?
4. What are the current issues with this business structure chosen by these consulting firms?

Resources:

Big four consulting firms use partnership structure to avoid scrutiny

Exercise 3



Background:

This activity will allow you to practise some common recording with the equity accounts used by the company business structure.

Task:

You are required to use Excel spreadsheet to generate the journals for the following activities happening in the year 2022 for Linh Do Accounting Company.

1. On 1st January 2022, the company has issued 200,000 ordinary shares at \$5 each to raise capital for its future business operation.
2. On 30th June 2022, the company declared \$100,000 to be paid as dividends to its shareholders from the company's earnings of \$500,000 in the financial year 2022.
3. The dividend payment is facilitated on 15th July 2022 and funds are electronically transferred to the shareholders' accounts.

Please prepare an Abstract for Equity section for Linh Do Accounting Company at the end of the financial year 2022 (assuming there is no previous year balance for any equity accounts in the system).

Resources:

Excel Spreadsheet

Exercise 4



P10-72A. (Learning Objectives 2, 6: Account for stock issuance; report stockholders' equity) The partners who own Lane Rafts wished to avoid the unlimited personal liability of the partnership form of business, so they incorporated as Lane Rafts, Inc. The charter from the state of California authorizes the corporation to issue 160,000 shares of \$6 par common stock. In its first month, Lane Rafts completed the following transactions:

- Mar 6 Issued 1,000 shares of common stock to the promoter for assistance with issuance of the common stock. The promotional fee was \$27,000. Debit Organization Expense.
- 9 Issued 10,000 shares of common stock to Jenny Collins and 20,000 shares to Pam Lane in return for cash equal to the stock's market value of \$10 per share. The two women were partners in Lane Rafts Co.
- 26 Issued 1,500 shares of common stock for \$22 cash per share.

Requirements

1. Record the transactions in the journal.
2. Prepare the stockholders' equity section of the Lane Rafts, Inc., balance sheet at March 31, 2017. The ending balance of Retained Earnings is \$90,000.

Exercise 5

P10-73A. (Learning Objective 6: Report stockholders' equity) Rollo Corp. has the following stockholders' equity information:

Rollo's charter authorizes the company to issue 5,000 shares of 7% preferred stock with par value of \$110 and 650,000 shares of no-par common stock. The company issued 2,500 shares of the preferred stock at \$110 per share. It issued 65,000 shares of the common stock for a total of \$511,000. The company's retained earnings balance at the beginning of 2016 was \$79,000, and net income for the year was \$95,000. During 2016, Rollo declared the specified dividend on preferred and a \$0.60 per-share dividend on common. Preferred dividends for 2015 were in arrears.

Requirement

1. Prepare the stockholders' equity section of Rollo Corp.'s balance sheet at December 31, 2016. Show the computation of all amounts. Journal entries are not required.

Exercise 6

P10-74A. (Learning Objectives 2, 4: Analyze stockholders' equity and dividends of a corporation) Yoder Outdoor Furniture Company included the following stockholders' equity on its year-end balance sheet at February 28, 2017:



Stockholders' Equity

Preferred stock, 6% cumulative—par value \$35 per share; authorized 120,000 shares in each class	
Class A—issued 72,000 shares	\$ 2,520,000
Class B—issued 89,000 shares.....	3,115,000
Common stock—\$6 par value: authorized 1,500,000 shares, issued 310,000 shares.....	
	1,860,000
Additional paid-in capital—common	5,570,000
Retained earnings.....	8,370,000
	<u>\$21,435,000</u>

Requirements

1. Identify the different issues of stock that Yoder Outdoor Furniture Company has outstanding.
2. Give the summary entries to record issuance of all the Yoder stock. Assume that all the stock was issued for cash. Explanations are not required.
3. Suppose Yoder passed its preferred dividends for three years. Would the company have to pay those dividends in arrears before paying dividends to the common stockholders? Give your reason.
4. What amount of preferred dividends must Yoder declare and pay each year to avoid having preferred dividends in arrears?
5. Assume that preferred dividends are in arrears for 2016. Journalize the declaration of an \$820,000 dividend on February 28, 2017. An explanation is not required.

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Tutorial B

Exercise 1



Background:

Students should have attempted Shares & Dividends Excel Spreadsheet before returning up to the tutorial B this week.

Task:

1. You now will be working in pairs to discuss and compare your solution on the Shares & Dividends Excel Spreadsheet from the between tutorial page.
2. After discussion time, your pair might be requested to present the solution to the class.

Resources:

Shares & Dividends Excel Spreadsheet

Exercise 2



Background:

This activity will give you an opportunity to understand share buybacks and therecent buybacks in the financial market during year 2021-2022.

Task:

You are required to access to the following article : 'Buybacks are poised for arecord year, but who do they help?', written by Bob Pisani (CNBC,2021) tocomplete the following tasks:

1. Summarise the key points of the article.
2. From the article, which companies bought back their shares aggressively inthe year 2020-2021 ?
3. What might be the reasons for these companies' share buybacks?

Resources:

Buybacks are poised for a record year, but who do they help?

Exercise 3



P10-75A. (Learning Objectives 2, 3, 4: Account for stock issuance, dividends, and treasury stock) Walker Jewelry Company reported the following summarized balance sheet at December 31, 2016:

Assets	
Current assets	\$34,500
Property and equipment, net	93,200
Total assets	\$127,700
Liabilities and Equity	
Liabilities	\$38,000
Stockholders' equity	
\$0.40 cumulative preferred stock, \$15 par, 200 shares issued	3,000
Common stock, \$7 par, 6,300 shares issued	44,100
Paid-in capital in excess of par—common	17,600
Retained earnings	25,000
Total liabilities and equity	\$127,700

During 2017, Walker Jewelry completed these transactions that affected stockholders' equity:

Feb 13 Issued 5,700 shares of common stock for \$10 per share.

Jun 7 Declared the regular cash dividend on the preferred stock.

24 Paid the cash dividend.

Aug 9 Declared and distributed a 10% stock dividend on the common. Market price of the common stock was \$14 per share.

Oct 26 Reacquired 900 shares of common stock as treasury stock paying \$16 per share.

Nov 20 Sold 300 shares of the treasury stock for \$21 per share.

Dec 31 Declared a cash dividend of \$0.25 per share on the outstanding common stock; dividends will be paid in January, 2018.

Exercise 3

Requirements

1. Journalize Walker Jewelry's transactions. Explanations are not required.
2. Report Walker Jewelry's stockholders' equity at December 31, 2017. Net income for 2017 was \$27,000.

Exercise 4



P10-76A. (Learning Objectives 3, 4, 6: Measure the effects of stock-related transactions on a company) Assume Dairy Freeze, Inc., completed the following transactions during 2016, the company's 10th year of operations:

Feb 3 Issued 17,000 shares of common stock (\$2.00 par) for cash of \$510,000.

Mar 19 Purchased 2,800 shares of the company's own common stock at \$21 per share.

Apr 24 Sold 1,900 shares of treasury common stock for \$29 per share.

Aug 15 Declared a cash dividend on the 13,000 shares of \$0.70 no-par preferred stock.

Sep 1 Paid the cash dividends.

Nov 22 Declared and distributed a 15% stock dividend on the 92,000 shares of \$2.00 par common stock outstanding. The market value of the common stock was \$27 per share.

Requirements

1. Analyze each transaction in terms of its effect on the accounting equation of Dairy Freeze, Inc.
2. What impact did each transaction have on cash flows?

Exercise 5



P10-77A. (Learning Objectives 4, 5: Prepare a corporation's balance sheet; measure profitability) The following accounts and related balances of Seagull Designers, Inc., as of December 31, 2016, are arranged in no particular order:

Cash.....	\$ 42,000	Interest expense.....	\$ 16,300
Accounts receivable, net.....	20,000	Property, plant, and	
Paid-in capital in excess		equipment, net	354,000
of par—common	22,000	Common stock, \$1 par,	
Accrued liabilities.....	25,000	1,250,000 shares authorized,	
Long-term note payable	98,000	118,000 shares issued.....	118,000
Inventory.....	89,000	Prepaid expenses	22,000
Dividends payable.....	11,000	Common stockholders'	
Retained earnings.....	?	equity, December 31, 2015	226,000
Accounts payable	145,000	Net income.....	90,000
Trademarks, net.....	11,000	Total assets,	
Goodwill.....	16,000	December 31, 2015	494,000
		Treasury stock,	
		23,000 shares at cost	32,000
		Net sales.....	950,000

Requirements

1. Prepare Seagull's classified balance sheet in the account format at December 31, 2016.
2. Use DuPont Analysis to compute rate of return on total assets and rate of return on common stockholders' equity for the year ended December 31, 2016.
3. Do these rates of return suggest strength or weakness? Give your reason. What additional information might help you make your decision?

Exercise 6

P10-78A. (Learning Objective 6: Analyze a statement of stockholders' equity) Paulus Specialties, Inc., reported the following statement of stockholders' equity for the year ended October 31, 2016:



	A	B	C	D	E	F
1	Paulus Specialties, Inc. Statement of Stockholders' Equity For the Year Ended October 31, 2016					
2	(In millions)	Common Stock	Additional Paid-in Capital	Retained Earnings	Treasury Stock	Total
3	Balance, October 31, 2015	\$ 460	\$ 1,600	\$ 909	\$ (116)	\$ 2,853
4	Net income			350		350
5	Cash dividends			(192)		(192)
6	Issuance of stock (100 shares)	100	300			400
7	Stock dividend	112	210	(322)		—
8	Sale of treasury stock		17		5	22
9	Balance, October 31, 2016	\$ 672	\$ 2,127	\$ 745	\$ (111)	\$ 3,433
10						

Requirements

Answer these questions about Paulus Specialties' stockholders' equity transactions.

1. What is the par value of the company's common stock?
2. At what price per share did Paulus Specialties issue its common stock during the year?
3. What was the cost of treasury stock sold during the year? What was the selling price of the treasury stock sold? What was the increase in total stockholders' equity?
4. Paulus Specialties' statement of stockholders' equity lists the stock transactions in the order in which they occurred. What was the percentage of the stock dividend? Round to the nearest percentage. (Ignore treasury stock in answering this question.)